

Table 13.6

<i>Panel A</i>	
<i>Average Time Between Liquidity Events (or Average Turnover)</i>	<i>Optimal Rebalance Value</i>
10 Years	0.05
5 Years	0.11
2 Years	0.24
1 Year	0.37
$\frac{1}{2}$ Year	0.44
Continuous Trading	0.59

<i>Panel B</i>	
<i>Average Time Between Liquidity Events (or Average Turnover)</i>	<i>Illiquidity Risk Premium</i>
10 Years	6.0%
5 Years	4.3%
2 Years	2.0%
1 Year	0.9%
$\frac{1}{2}$ Year	0.7%
Continuous Trading	0.0%

rebalanced holding. The optimal trading point of illiquid assets is lower than the long-run average holding.

Consume Less with Illiquid Assets

Payouts, or consumption rates, are lower in the presence of illiquid assets than when only comparable liquid assets are held by the investor. The investor cannot offset the risk of illiquid assets declining when these assets cannot be traded. This is an *unhedgeable* source of risk. The investor offsets that risk by eating less.

There Are No Illiquidity “Arbitrages”

In a mean-variance model, two assets with different Sharpe ratios and perfect correlations produce positions of plus or minus infinity. This is a well-known bane of mean-variance models, and professionals employ lots of ad hoc fixes, and arbitrary constraints, to prevent this from happening. This does not happen when one asset is illiquid—there is no arbitrage. Investors do not load up on illiquid assets